

12. 9:00 AM CASE NUMBER: C24-01760
CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION
HEARING ON SUMMARY MOTION FILED BY DEFENDANT SHEA HOMES LIMITED PARTNERSHIP
FILED BY: SHEA HOMES LIMITED PARTNERSHIP
TENTATIVE RULING:

The Court continues the hearing on this motion to September 9, 2026 at 9:00 a.m.

13. 9:00 AM CASE NUMBER: C24-01760
CASE NAME: ACD-TI OAKLEY LLC VS. SUMMER LAKE OWNERS ASSOCIATION
HEARING ON SUMMARY MOTION FILED BY CROSS-DEFENDANT OAKLEY UNION ELEMENTARY
SCHOOL DISTRICT
FILED BY:
TENTATIVE RULING:

Judgment in favor of Cross-Defendant Oakley Union was entered on 8/5. If this motion is withdrawn or moot, counsel shall provide notice to the Court.

14. 9:00 AM CASE NUMBER: C24-02009
CASE NAME: DANIEL RUBIO VS. RH OAK, INC.
***HEARING ON MOTION IN RE: ENFORCE SETTLEMENT AGREEMENT**
FILED BY: RH OAK, INC.
TENTATIVE RULING:

Before the Court is Defendant RH Oak, Inc.'s Motion to Enforce Settlement Agreement and for Award of Attorney Fees, Costs and Sanctions ("Motion").

General Procedural Background

Plaintiff filed his original Class Action Complaint on July 30, 2024, alleging nine employment related causes of action. The First Amended Class Action Complaint was filed on December 9, 2024, which added a PAGA claim.

On March 11, 2025, Plaintiff Daniel Rubio executed a Mutual Release and Settlement Agreement ("Settlement Agreement") with Defendant RH Oak, Inc. The Settlement Agreement calls for a payment to Plaintiff (discussed below) in return for Plaintiff filing a Request for Dismissal of the Complaint within 2 business days of the full execution of the Settlement Agreement – *i.e.* by March 15, 2026.

Defendant notes that Plaintiff has not dismissed the Complaint as required by the Agreement. Instead, a motion for leave to amend was filed on his behalf on January 14, 2026. Given the failure of Plaintiff to abide by the terms of the Agreement, Defendant now moves to enforce the Agreement.

Plaintiff's opposition to this Motion was due by Thursday, August 20, 2026. As of the date of the drafting of this Tentative Ruling, no timely Opposition has been filed.

Overview of Section 664.6

Pursuant to the California Code of Civil Procedure ("CCP") section 664.6:

If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.

(Code Civ. Proc., §664.6(a).)

California courts have interpreted section 664.6 as creating "a summary, expedited procedure to enforce settlement agreements when certain requirements that decrease the likelihood of misunderstandings are met." (*Elyaoudayan v. Hoffman* (2003) 104 Cal.App.4th 1421, 1429).

"A court ruling on a motion under Code of Civil Procedure section 664.6 must determine whether the parties entered into a valid and binding settlement." (*Ibid.* numerous citations omitted.) "If the court determines that the parties entered into an enforceable settlement, it should grant the motion and enter a formal judgment pursuant to the terms of the settlement." (*Ibid.*)

"The statutory language makes clear, however, that a party moving for the entry of judgment pursuant to a settlement under Code of Civil Procedure section 664.6 need not establish a breach of contract to support relief under the statute." (*Hines, supra*, 167 Cal.App.4th at 1185.) Instead, the Court is authorized to "enter a judgment pursuant to the settlement regardless of whether [a party's] nonperformance of [their] settlement obligations [were] excused." (*Ibid.*)

Analysis

Under Section 664.6, if the Court finds that the parties stipulate in writing to the settlement of the case – which the parties have done here – it may "enter judgment **pursuant to the terms of** the settlement." (Code Civ. Proc. § 664.6.) There appear to be at least two problems with the Settlement Agreement at issue which prevent the Court from granting the motion.

Defendant's Obligation

Defendants submit the signed and dated Settlement Agreement as Exhibit A to the declaration of Marilyn Smith, counsel for defendants. Counsel indicates that it is a "true and correct copy" of the Agreement. The version submitted, however, appears to be redacted. Paragraph 3, entitled Settlement Payments states:

3. **Settlement Payments.** In exchange for the promises and releases made in this Agreement, the Parties agree upon full execution of this Agreement Company shall give a check to Employee in the amount of _____ Dollars USD (\$ _____) in cash (the "Settlement Amount"). *Plus not to collect \$ _____ w/c overpayment*

The amount to be paid is blacked out, as is the amount that Defendant claims it will not seek to

collect related to workers' compensation overpayment. The declaration in support does not indicate that the above blacked out areas are 'redacted' nor does the Settlement Agreement itself appear to so indicate.

"In general, before judgment can be entered upon a settlement under section 664.6, 'there must be a 'writing signed by the parties' that contains the material terms' of the agreement." (*Fauss v. GAF Corp.* (2002) 103 Cal.App.4th 1110, 1123.) The material terms include the amount the Defendant is obligated to pay. (*Ibid.* finding that the judgment entered failed to satisfy section 664.6 because it failed to include the "amount [settling party] was obligated to pay.")

Under Section 664.6, if the Court finds that the parties stipulate in writing to the settlement of the case – which the parties have done here – it may "enter judgment **pursuant to the terms of the settlement.**" (Code Civ. Proc. § 664.6.) The Court cannot enter judgment 'pursuant to the terms of the settlement' when material terms of the Settlement Agreement are blacked out.

While this oversight can easily be remedied by Defendant submitting an unredacted version of the Agreement, there is still another problem with the Settlement Agreement which appears to prevent the Court from entering judgment thereon.

Plaintiff's Obligation

The Settlement Agreement defines Plaintiff's obligation as follows:

"Within 2 business days of the full execution of this Agreement, [Plaintiff] shall cause to be filed a Request for Dismissal of the Complaint."

On its face, this appears to be a straightforward requirement. However, in this case it appears that the parties may not have agreed to a result they both wanted.

"Before judgment can be entered, two key prerequisites must be satisfied [...] First, there must be contract formation. The litigants must first agree to the material terms of a settlement contract before a judgment can be entered 'pursuant to the terms of the settlement.' If no meeting of the minds has occurred on the material terms of a contract, basic contract law provides that no contract formation has occurred." (*Weddington Productions, Inc. v. Flick* (1998) 60 Cal.App.4th 793, 797.)

An essential element of contract formation is 'mutual consent.' (*Id.* at 811.) "The existence of mutual consent is determined by objective rather than subjective criteria, the test being what the outward manifestations of consent would lead a reasonable person to believe." (*Ibid.*) "Outward manifestations thus govern the finding of mutual consent...." (*Ibid.*) "The parties' outward manifestations must show that the parties all agreed 'upon the same thing in the same sense.'" (*Ibid.* citation omitted.)

Here, it appears that the intent of the parties was for Defendant to pay Mr. Rubio a certain sum in exchange for him having this lawsuit dismissed – i.e. to file a request for "Dismissal of the Complaint." While the Settlement Agreement merely states that Mr. Rubio is to file such a request, it is clear the intent was to have the whole matter dismissed such that Defendant no longer had to defend this lawsuit. It would not make objective sense for Defendant to agree to pay Mr. Rubio to merely file such a request if it did not have any impact on the proceedings. This is consistent with Defendant's request that the Court "enter an order dismissing the Action pursuant to the [Agreement.] (Motion at

9:7-8.)

There are a few problems with this request. First, it does not appear that the Court has the authority to dismiss the action pursuant to this Motion.

Section 664.6(a) provides:

“If parties to pending litigation stipulate, in a writing signed by the parties outside of the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If the parties to the settlement agreement or their counsel stipulate in writing or orally before the court, the court may dismiss the case as to the settling parties without prejudice and retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.”

The above shows two separate powers that the parties can give to the court when they sign an agreement settling the case outside the presence of the court. First, the court can “enter judgment pursuant to the terms of the settlement.” In other words, the court can enforce the settlement agreement by entering judgment thereon.

Second, “[i]f the parties to the settlement agreement or their counsel stipulate in writing” the court may dismiss the case as to the settling parties and retain jurisdiction to enforce the settlement. The Settlement Agreement at issue here does not include language granting the Court authority to dismiss the action and retain jurisdiction. The applicable paragraph states:

The Parties agree that each Party has the right to enforce this Agreement, or any provision thereof, by filing any appropriate motion or proceeding, including, without limitation, a motion pursuant to California Code of Civil Procedure Section 664.6, in the Actions.

Section 664.6 was “amended in 1993 to expressly permit courts to retain jurisdiction after dismissal to enforce the terms of the settlement, *if requested to do so.*” (*In re The Clergy Cases I* (2010) 188 Cal.App4th 1224, 1236.) There is no such request here.

Dismissal of Class Action and PAGA claims

More importantly, the Court cannot dismiss a class action complaint or a PAGA claim merely upon the settlement of the named plaintiff in the action. Initially, it is worth noting that there is no express language in the Settlement Agreement that Defendant is agreeing to dismiss the class claims or the representative PAGA claims. Even if there were, the mere filing of a Request for Dismissal of Complaint by Mr. Rubio could not accomplish that desired result.

Rule 3.769 of the California Rules of Court requires that a “settlement or compromise of an entire class action, or of a cause of action in a class action, or as to a party, requires the approval of the court after hearing.” (Cal. R. Ct. 3.769(a).) Likewise, court approval is required to dismiss an entire class action or cause of action in a class action. (Cal. R. Ct. 3.770(a).) A request for dismissal “must be accompanied by a declaration setting forth the facts on which the party relies.” (*Ibid.*)

The Settlement Agreement is ambiguous as to what Defendant is asking Plaintiff to do. The wording of the Settlement Agreement says that a Request for Dismissal of Complaint will be filed. That alone, however, would be insufficient to obtain dismissal of the class action complaint. At most, it would

dismiss Defendant's individual claims. That does not mean that the class claims are likewise dismissed.

California courts "recognize and preserve the rights of absent class members, even before the issue of certification has been determined." (*Shapell Industries, Inc. v. Superior Court* (2005) 132 Cal.App.4th 1101, 1109.) As such, if the named plaintiff in a class action complaint dismisses "himself as an individual party to the action mean[ing] that there was no named representative plaintiff of the putative class ... the putative class remain[s] extant, awaiting proper amendment of the complaint to add a new representative plaintiff." (*Id.* at 1108.)

In other words, Mr. Rubio does not appear to have the authority to – nor is he required to seek – dismissal of the class claims in the complaint.

Also, even if Mr. Rubio settles his individual claims that does not mean that he cannot proceed as a class representative on behalf of the remaining class members. As explained by the court in *Larner v. Los Angeles Doctors Hospital Associates, LP* (2008) 168 Cal.App.4th 1291:

"A class representative's receipt of relief on all her individual claims does not necessarily extinguish the interests of the members of the class she purported to represent. 'When a plaintiff sues on behalf of a class, he assumes a fiduciary obligation to the members of the class, surrendering any right to compromise the group action in return for an individual gain. Even if the named plaintiff receives all the benefits that he seeks in the complaint, such success does not divest him of the duty to continue the action for the benefit of others similarly situated.' (*La Sala v. American Sav. & Loan Assn.* (1971) 5 Cal.3d 864, 871 [].) "[A] defendant's grant of individual relief to the named plaintiffs in a class action does not, in itself, render those plaintiffs unfit per se to represent the class." (*Kagan v. Gibraltar Sav. & Loan Ass.* (1984) 35 Cal.3d 582, 594.)" (*Id.* at 1298.)

"Whether the named plaintiff will fairly and adequately protect that class frames an issue that rests in the discretion of the trial court." (*La Sala*, 5 Cal.3d at 871.)

Likewise, "PAGA settlements are subject to trial court review and approval, ensuring that any negotiated resolution is fair to those affected." (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 549.) If the Settlement Agreement is meant to settle the entire action, which includes the PAGA claim, Court approval is required. In addition, even if Defendant settles his individual claims – including his 'individual' PAGA claims – that does not mean that Mr. Rubio cannot continue to prosecute the PAGA claims on behalf of the other individuals covered by the representative cause of action.

As the California Supreme Court made clear: "Settlement of individual claims does not strip an aggrieved employee of standing, as the state's authorized representative, to pursue PAGA remedies." (*Kim v. Reins International California, Inc.* (2020) 9 Cal.5th 73, 80.) As explained by the Court:

"The Legislature defined PAGA standing in terms of violations, not injury. [Plaintiff] became an aggrieved employee, and had PAGA standing, when one or more Labor Code violations were committed against him. (See §2699(c).) Settlement did not nullify these violations. The *remedy* for a Labor Code violation, through settlement or other means, is distinct from the *fact* of the violation itself. For example, employers can pay an additional hour of wages as a remedy for failing to provide meal and rest breaks. (§ 226.7, subd. (c).) But we have held that payment of this statutory remedy

“does not *excuse* a section 226.7 violation.” (*Id.* at 84.)

Thus, even though Plaintiff may be settling his individual Labor Code claims, that does not mean that he cannot be – and is not still – the state’s representative for the PAGA claim.

Summary

It appears that Defendant was attempting to have this entire action dismissed via its Settlement Agreement with Mr. Rubio. Per the terms of Settlement Agreement, however, that would not and could not occur based solely on Mr. Rubio filing a Request for Dismissal of Complaint.

“Under section 664.6, the [parties are] entitled to judgment ‘pursuant to the terms of the settlement’ [cite], **and nothing more.**” (*Machado*, supra, 39 Cal.App.5th at 792 emphasis added.) The Court cannot “add to or modify an express term of the settlement” under section 664.6. (*Leeman v. Adams Extract & Spice, LLC* (2015) 236 Cal.App.4th 1367, 1375.)

Based on the above, it does not appear that there was ever a ‘meeting of the minds’ and no actual contract was formed via execution of the Settlement Agreement. As such, it cannot be entered as a judgment.

If the Court is reading too much into the Settlement Agreement – and Defendant is actually seeking to have the Settlement Agreement entered as a Judgment as written (with the redactions discussed above regarding the amounts at issue removed), the Court will grant such a request. The Court does not believe that is what Defendant wants, however.

Monetary Sanctions

Defendant also requests sanctions Civil Code section 1717, Code of Civil Procedure sections 128.5 and 2023.030, as well as California Rules of Court 2.30 – based in part of Plaintiff’s failure to dismiss the Complaint in accordance with the Agreement. None of the authorities cited by Defendant authorizes a court to award sanctions in connection with a motion to enforce a settlement agreement pursuant to section 664.6

Initially, as noted above, the Court’s ruling on a motion to enforce under section 664.6 is limited to entering a judgment pursuant to the terms of the settlement agreement. There is no indication that sanctions are permissible under that section.

In addition, each of the above rules of statutes provide for their own procedures for seeking sanctions. To award attorney fees under Civil Code section 1717, the Court must first determine which party (if any) is the “prevailing party.” As discussed above, that issue is not before the Court at this time. Section 128.5 contains a mandatory 21-day safe harbor provision. (*Transcon Financial, Inc. v. Reid & Hellyer, APC* (2022) 81 Cal.App.5th 547, 550.) There is no indication this has been complied with. Section 2023.030 pertains to abuse of the discovery process, which is not properly before the Court on this motion. Likewise, there is no indication that Rule 2.30 applies in this situation.

Conclusion

Based on the above, Defendant’s motion is **denied**. If Defendant would like to proceed with the motion to enter judgment in accordance with the terms of the Settlement Agreement, it should contest this tentative ruling and provide the Court and opposing counsel with a copy of the unredacted Settlement Agreement so the Court can enter judgment based on the complete Settlement Agreement.